

Mindteck Inc. and its Subsidiary

Consolidated Financial statements

March 31, 2020 and 2019

(With Independent Auditors' Report)



M. Dhanani
MEENAZ DHANANI
PRESIDENT

MINDTECK INC. AND ITS SUBSIDIARY
CONSOLIDATED FINANCIALS
MARCH 31, 2020 & 2019

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Meenaz Dhanani
MEENAZ DHANANI
PRESIDENT

INDEPENDENT AUDITOR'S REPORT

The Board of Directors,
Mindteck (India) Limited

Report on the Audit of Consolidated Financial Statements**Opinion**

We have audited the accompanying consolidated financial statements of Mindteck, Inc. and its subsidiary (the Group), which comprise the consolidated balance sheet as of March 31, 2020 and the related consolidated statements of income and comprehensive income, changes in stockholders' equity, and cash flows for the years then ended, and the related notes to the consolidated financial statements including a summary of significant accounting policies.

In our opinion and to the best of our information and according to the explanations given to us, the aforesaid consolidated financial statements are prepared, in all material respects, in accordance with the basis of accounting described in Note 2 to those Consolidated Financial Statements.

Basis for Opinion

We conducted our audit in accordance with International Standards on Auditing (ISAs). Our responsibilities under those standards are further described in the Auditor's responsibilities for the audit of the consolidated financial statements section of our report. We are independent of the Group in accordance with the ethical requirements that are relevant to our audit of the consolidated financial statements in India, and we have fulfilled our other ethical responsibilities in accordance with these requirements. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Emphasis of Matter**Basis of Accounting and Restriction on Distribution**

We draw attention to Note 2 to the consolidated financial statements which describes the basis of accounting. These consolidated financial statements are prepared solely for internal use of the management. As a result, these consolidated financial statements may not be suitable for another purpose. This report should not be used by, referred to or distributed for any other purpose. We do not accept or assume responsibility to anyone other than to whom this report is addressed, for our audit work, for this report, or for the opinion we have formed. Our opinion is not modified in respect of this matter.

Responsibilities of Management and Those Charged with Governance for the Consolidated Financial Statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with U.S. generally accepted accounting principles, and for such internal control as management determines is necessary to enable the preparation of consolidated financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the consolidated financial statements, management is responsible for assessing the Group's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Group or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Group's financial reporting process.



Auditor's Responsibility for the audit of the Consolidated Financial Statements

Our objectives are to obtain reasonable assurance about whether the consolidated financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these consolidated financial statements.

As part of an audit in accordance with ISAs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

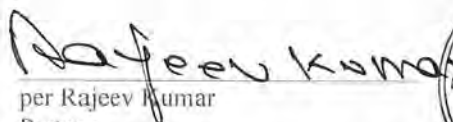
- Identify and assess the risks of material misstatement of the consolidated financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Group's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the consolidated financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Group to cease to continue as a going concern.
- Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Group to express an opinion on the consolidated financial statements. We are responsible for the direction, supervision and performance of the group audit. We remain solely responsible for our audit opinion.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

For S.R. Batliboi & Associates LLP

Chartered Accountants

ICAI Firm Registration Number: 101049W/E300004


per Rajeev Kumar
Partner

Membership Number: 213803



UDIN: 20213803AAAACQ2295

Place: Bengaluru, India

Date: August 13, 2020

MINDTECK INC. AND ITS SUBSIDIARY
CONSOLIDATED BALANCESHEETS
(In United States Dollars)

<u>Assets</u>	<u>As of</u> <u>March 31, 2020</u>	<u>As of</u> <u>March 31, 2019</u>
<i>Current assets:</i>		
Cash and cash equivalents	\$ 798,910	\$ 576,474
Accounts receivable from affiliates (Notes 3 & 10)	523,037	637,346
Accounts receivable, net of allowances (Note 3)	4,351,625	5,192,771
Unbilled revenue	1,605,375	1,743,441
Loan to affiliates (Note 10)	285,960	285,960
Deferred income tax asset (Note 9)	-	-
Income tax assets	87,843	85,391
Other current assets (Note 4)	294,595	110,087
Total current assets	\$ 7,947,345	\$ 8,631,470
Plant and equipment, net (Note 5)	9,669	17,372
Goodwill (Note 6)	-	2,219,224
Deposits	1,198	36,848
Total assets	\$ 7,958,212	\$ 10,904,914
 <u>Liabilities and Stockholders' equity</u>		
<i>Current liabilities:</i>		
Accounts payable	\$ 411,495	\$ 435,806
Accounts payable to affiliates (Note 10)	721,076	697,486
Income tax liabilities	10,206	45,084
Other current liabilities (Note 8)	1,453,393	1,367,482
Unearned revenue	2,079	-
Compensated absences	275,463	327,791
Total current liabilities	\$ 2,873,712	\$ 2,873,649
Income taxes payable	-	4,334
Deferred income tax liability (Note 9)	-	428,883
Total liabilities	\$ 2,873,712	\$ 3,306,866
 Commitments & Contingencies (Note 13)		
 Stockholders' equity		
Common stock, \$1 par value; Authorized 250,000 shares; issued and outstanding 19,000 shares	\$ 19,000	\$ 19,000
Additional paid-in capital	8,194,493	8,187,502
Retained earnings/(Accumulated Deficit)	(3,110,382)	(601,014)
Accumulated other comprehensive income/(loss)	(18,611)	(7,440)
Total stockholders' equity attributable to Mindteck, Inc.	\$ 5,084,500	\$ 7,598,048
Total liabilities and stockholders' equity	\$ 7,958,212	\$ 10,904,914

See accompanying notes to consolidated financial statements.



Mehnaz Dhamani
MEHNAZ DHAMANI
PRESIDENT

MINDTECK INC. AND ITS SUBSIDIARY
CONSOLIDATED STATEMENTS OF INCOME AND COMPREHENSIVE INCOME
(In United States Dollars)

	Year ended March 31, 2020	Year ended March 31, 2019
Revenues	\$ 23,578,732	\$ 25,818,350
Operating expenses:		
Cost of revenues (excluding depreciation and amortization)	(19,892,878)	(21,909,328)
Selling, general and administrative expenses (excluding depreciation and amortization)	(4,483,028)	(4,494,270)
Impairment of goodwill (Note 6)	(2,219,224)	-
Depreciation and amortization (Note 5)	(10,516)	(13,759)
Total operating expenses	\$ (26,605,646)	\$ (26,417,357)
Operating income/(loss)	(3,026,914)	(599,007)
Other income	26,491	4,696
Interest (expense)/income, net	(2,331)	1,652
Income/(loss) before income taxes	(3,002,754)	(592,659)
Income tax benefit/(expense) (Note 9)	493,386	93,628
Net income/(loss)	\$ (2,509,368)	\$ (499,031)
Other comprehensive income/(loss):		
Foreign currency translation adjustment	(11,171)	(7,440)
Total Comprehensive income/(loss) attributable to the Company	\$ (2,520,539)	\$ (506,471)

See accompanying notes to consolidated financial statements.



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MINDTECK INC. AND ITS SUBSIDIARY
CONSOLIDATED STATEMENTS OF EQUITY
(In United States Dollars, except share data)

	Common Stock		Additional	Retained earnings/ (Accumulated Deficit)	Accumulated Other Comprehensive income/(loss)	Total Stock holders' Equity
	Number of shares	Amount	Paid-in Capital			
Balances at April 01, 2018	19,000	\$ 19,000	\$ 8,175,727	\$ (101,983)	\$ -	\$ 8,092,744
Stock compensation expense [Note 11]	-	-	11,775	-	-	11,775
Net income/(loss)	-	-	-	(499,031)	-	(499,031)
Other comprehensive income/(loss)	-	-	-	-	(7,440)	(7,440)
Balances as of March 31, 2019	19,000	19,000	8,187,502	(601,014)	(7,440)	7,598,048
Stock compensation expense [Note 11]	-	-	6,991	-	-	6,991
Net income/(loss)	-	-	-	(2,509,368)	-	(2,509,368)
Other comprehensive income/(loss)	-	-	-	-	(11,171)	(11,171)
Balances as of March 31, 2020	19,000	\$ 19,000	\$ 8,194,493	\$ (3,110,382)	\$ (18,611)	\$ 5,084,500

See accompanying notes to consolidated financial statements.



M. D. Dhanani
Mehnaz Dhanani
President

MINDTECK INC. AND ITS SUBSIDIARY
CONSOLIDATED STATEMENTS OF CASH FLOWS
(In United States Dollars)

	Year ended March 31, 2020	Year ended March 31, 2019
Cash flows from operating activities:		
Net income/(loss)	\$ (2,509,368)	\$ (499,031)
<i>Adjustments to reconcile net income to net cash provided by operating activities:</i>		
Depreciation and amortization	10,516	13,759
Stock compensation expense	6,991	11,775
Impairment of goodwill	2,219,224	-
Allowance for doubtful accounts	15,427	(551)
Loss on sale of fixed assets	51	224
Deferred tax expenses/(credit)	(428,883)	(28,467)
<i>Changes in operating assets and liabilities</i>		
Accounts receivable and unbilled revenue	1,062,275	(648,185)
Other assets and deposits	(150,673)	(9,175)
Income taxes	(41,006)	(98,975)
Accounts payable	7,147	(63,900)
Other liabilities	41,503	(14,428)
Net cash provided by/(used in) operating activities	\$ 233,204	\$ (1,336,954)
Cash flows from investing activities:		
Expenditure on plant and equipment	(2,864)	(8,366)
Net cash provided by/(used in) investing activities	\$ (2,864)	\$ (8,366)
Effect of exchange rate changes on cash and cash equivalents	(7,904)	(5,936)
Net changes in cash and cash equivalents	222,436	\$ (1,351,256)
Cash and cash equivalents at beginning of year	576,474	1,927,730
Cash and cash equivalents at end of year	\$ 798,910	\$ 576,474
Supplementary information:		
Cash paid for interest	\$ 2,831	\$ 2,720
Cash received for interest	\$ -	\$ 4,383
Income taxes paid	\$ 17,078	\$ 16,500

See accompanying notes to consolidated financial statements.



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MINDTECK INC. AND ITS SUBSIDIARY
NOTES TO CONSOLIDATED FINANCIAL STATEMENTS
(In United States Dollars, except where otherwise stated)

1. Organization and description of the business

Mindteck Inc. ("the Company"), is a software development and consulting company headquartered in Camp Hill, Pennsylvania. The Company was incorporated in November 14, 1995 and is a subsidiary of Mindteck (India) Limited ("MIL"). On January 10, 2018, Mindteck Canada, Inc. ("Mindteck Canada") was incorporated under the laws of Canada as a wholly owned subsidiary of the Company.

2. Summary of Significant Accounting Policies

(a) Basis of preparation of financial statements and principles of consolidation

The accompanying consolidated financial statements have been prepared, in accordance with recognition and measurement principles generally accepted in the United States, by management for its internal use only.

The accompanying financial statements have been prepared on a consolidated basis and reflect the financial statements of the Company and its subsidiary that are more than 50% owned or controlled. The consolidated financial statements of the Company, includes the accounts of its wholly owned subsidiary, Mindteck Canada. All intercompany transactions and balances are eliminated in consolidation.

The functional currency and reporting currency of the Company is the United States Dollar ("USD/\$").

(b) Use of estimates:

The preparation of financial statements in conformity with U.S. GAAP requires management to make estimates and assumptions. These estimates and assumptions affect the reported amounts of assets and liabilities, the disclosures of contingent assets and liabilities at the date of the financial statements and the reported amounts of revenues and expenses during the reporting period. Significant estimates and assumptions are used for, but not limited to, accounting for costs and efforts expected to be incurred to complete performance under software development arrangements, allowance for uncollectible accounts receivable, the useful lives of plant and equipment and intangible assets, income tax valuation allowances and reserve for uncertain tax positions. Although these estimates are based upon management's best knowledge of current events and actions, actual results could differ from those estimates. Management believes that the estimates used in the preparation of the consolidated financial statements are prudent and reasonable. Appropriate changes in estimates are made as management becomes aware of changes in circumstances surrounding the estimates. Changes in estimates are reflected in the financial statements in the period in which changes are made and, if material, their effects are disclosed in the notes to the financial statements.

(c) Revenue recognition:

Rendering of services:

The Company derives its revenues primarily from software development and IT-enabled service including technical consultancy services. Revenues are recognized when there is persuasive evidence of a contractual arrangement with customers, services have been rendered, the fee is fixed or determinable and collectability is reasonably assured. The Company has concluded that it has persuasive evidence of a contractual agreement when it enters into an agreement with its customers with terms and conditions which describe the services and the related payments are legally enforceable. Revenues are recognized net of value added tax and applicable discounts and includes reimbursements of out-of-pocket expenses, with corresponding cost for out-of-pocket expenses included in cost of revenues.

The services are performed under both time-and-material and fixed-price arrangements. Revenues with respect to time-and-material are recognized as the related services are performed. Time-and-material contracts typically bill at an agreed upon hourly or daily rate. Revenue related to fixed fee arrangements are recognized using the percentage completion method based on actual direct costs in relation to total estimated costs. Provisions for estimated losses, if any, on uncompleted contracts are recorded in the



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period in which such losses become probable based on the current contract estimates.

The Company grants volume discounts to certain customers, which are computed based on a pre-determined percentage of total revenues from those customers during a specified period, as per the terms of the contract. These discounts are earned only after the customer has provided a certain specified cumulative level of revenues in the specified period. The Company reports revenues net of discount offered to customers.

The Company recognizes cash discounts as a reduction of revenues.

Multiple contracts with a single counterparty are evaluated to determine whether such contracts should be accounted for as separate contracts or aggregated and accounted for as a single contract. The Company evaluates whether the services are interdependent or interrelated with respect to the services being performed. If contracts are considered separate, the related costs are identified, tracked and reported separately and the contracts are serviced by different project management teams and potentially performed at different locations.

Interest Income:

Interest income is recognized using the time proportion method, based on the transactional interest rates.

Unbilled revenue:

Unbilled revenue represents revenue recognized in excess of amounts billed. These amounts are to be billed in subsequent periods as per the terms specified in the agreement. Billing done during the reporting period in excess of revenue recognized or billing done in advance is recorded as deferred revenue until the revenue recognition criteria is met.

Deferred revenue/ unearned revenue:

Deferred revenue represents billing in excess of revenue recognized and advance payments received from customers for which no services have been rendered.

Allowance for doubtful accounts:

Accounts receivables are reviewed periodically to determine the probability of loss. Accounts receivables are recorded at the invoiced amount and do not bear interest. The allowance for uncollectible accounts is determined using the combination of the specific identification method for balances deemed uncollectible, as well as judgments made by the Company based upon historical and expected collection experience.

(d) Cash and cash equivalents:

The Company considers all highly liquid investments with a remaining maturity at the date of purchase of three months or less and that are readily convertible to known amounts of cash to be cash equivalents. Cash and cash equivalents comprise cash and cash on demand deposit with banks.

(e) Fair value of financial instruments and concentration of credit risk:

The amounts reflected for cash and cash equivalents, accounts and unbilled receivables and accounts payable approximate their fair value due to their short maturities. Financial instruments that potentially subject the Company to concentration of credit risk consist primarily of cash and cash equivalents and accounts and unbilled receivables. The Company mitigates its risk with respect to cash and cash equivalents by maintaining its deposits with financial institutions.



Mehmet D. HANCI
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PRESIDENT

MINDTECK INC. AND ITS SUBSIDIARY
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(In United States Dollars, except where otherwise stated)

The Company has a concentration of its revenue and receivables with specific customers. The accounts receivable, net of allowances, amounted to USD 4,874,662 and USD 5,830,117 as of March 31, 2020, and 2019 respectively. Revenues amounting to more than 10% of the total revenue of the Company accounted from three customers amounting to USD 10,672,968 in 2020 and from four customers amounting to USD 15,807,560 in 2019. The amounts due from these customers accounted for USD 2,143,904 of accounts receivable as of March 31, 2020 and USD 3,536,134 as of March 31, 2019, respectively.

Accounts receivable are recorded at the invoiced amount and do not bear interest. The carrying amount of the accounts receivable is reduced by an allowance for doubtful accounts that reflects management's best estimate of the amounts that will not be collected. Accounts receivable balances are charged off against the allowance after all means of collection have been exhausted and the potential for recovery is considered remote.

(f) Plant and equipment, net:

Plant and equipment are stated at cost less accumulated depreciation. The costs of additions are capitalized, while repairs and maintenance are charged to expense as incurred. Upon disposal, assets and related accumulated depreciation are removed from the Company's accounts and the resulting gains and losses are reflected in current earnings in the consolidated statements of income. The Company depreciates plant and equipment over the estimated useful life using the straight-line method. The estimated useful lives of assets are as follows:

Asset classification	Useful life
Computer and office equipment	3 years
Software	3 years
Furniture and fixtures	5 years
Leasehold improvements	7 years

Assets under leasehold improvements are amortized over their estimated useful life or the lease term, whichever is lower.

Property and equipment are reviewed for impairment if indicators of impairment arise. There were no impairment charges related to property and equipment recognized during the years ended March 31, 2020 and 2019.

(g) Goodwill:

The Company accounts for its business combinations under the acquisition method of accounting. Goodwill represents the cost of the acquired businesses in excess of the fair value assigned to identifiable net assets acquired.

The Company does not amortize goodwill but instead tests goodwill for impairment at least annually, using a two-step impairment process. The fair value of the reporting unit is first compared to its carrying value (including goodwill). The fair value of the reporting units is determined using a combination of valuation techniques including discounted cash flow analysis and market value approaches based on multiples. If the fair value of the reporting unit exceeds the carrying value of the net assets assigned to that unit, goodwill is not impaired. If the carrying value of the net assets assigned to the reporting unit exceeds the fair value of the reporting unit, then the implied fair value of the reporting unit's goodwill is compared with the carrying value of the reporting unit's goodwill. The implied fair value of goodwill is determined in the same manner as the amount of goodwill recognized in a business combination. If the carrying value of a reporting unit's goodwill exceeds its implied fair value, then an impairment loss equal to the difference is recorded.



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h) Employee Benefits:

Defined Contribution Plan

Eligible employees of the Company in the United States may elect to participate in an employee retirement savings plan maintained pursuant to Section 401(k) of the United States Internal Revenue Code of 1986, as amended, (the "401(k) Plan"). The 401(k) Plan allows for employees to defer a portion of their annual earnings on a pre-tax basis through voluntary contributions to the 401(k) Plan. The Company may make discretionary matching contributions under the 401(k) Plan, but the Company is not currently making any such matching contributions.

(i) Income taxes:

Income taxes are accounted for under the asset and liability method. The current charge for income taxes is calculated in accordance with the relevant tax regulations applicable to the Company. Deferred tax assets and liabilities are recognized for the future tax consequences attributable to temporary differences between the financial statement carrying amounts of existing assets and liabilities and their respective tax bases and operating loss carry-forwards. Deferred tax assets and liabilities are measured using enacted tax rates expected to apply to taxable income in the years in which those temporary differences are expected to be recovered or settled. The effect on deferred tax assets and liabilities of a change in tax rates is recognized in income in the period that includes the enactment date. The measurement of deferred tax assets is reduced, if necessary, by a valuation allowance for any tax benefits of which future realization is not more likely than not. Changes in valuation allowance from period to period are reflected in the statement of income in the period of change. Tax benefits of deduction earned on exercise of stock options in excess of compensation charged to earnings are credited to additional paid in capital.

The Company recognizes the effect of income tax positions only if those positions are more likely than not of being sustained. Recognized income tax positions are measured at the largest amount that is greater than 50% likely of being realized. Changes in recognition or measurement are reflected in the period in which the change in judgment occurs.

The Company recognizes interest and penalties related to unrecognized tax benefits in income tax expense.

ASC 740 clarifies the accounting for uncertainty in income taxes recognized in an enterprise's financial statements and prescribes a recognition threshold and measurement attribute for the financial statements recognition and measurement of a tax position taken or expected to be taken in a tax return. The Company is required to recognize in the financial statements the impact of a tax position, if that position is more likely than not of being sustained on audit, based on the technical merits of the position. For the year ended March 31, 2020, the Board of Directors identified no material uncertain income tax positions relevant to the jurisdictions where the Company is required to file income tax returns.

Pursuant to adoption of ASU 2015-17 "Balance sheet Classification of Deferred Taxes", the Company has classified all deferred tax assets and liabilities as non-current on the balance sheet prospectively.

(j) Compensated absences:

The Company's liability towards compensated absences is accounted for on the basis of unavailed encashable leave balances at applicable encashable rates. The Company presents the entire compensated absences balance as a current liability in the balance sheet since it does not have an unconditional right to defer its settlement for twelve months after the reporting date.

(k) Foreign currency translation:

Foreign currency denominated assets and liabilities are translated into the functional currency at exchange rates in effect at the balance sheet date. The gains or losses resulting from such translations are included in earnings. Transaction gains or losses realized upon settlement of foreign currency transactions are included in determining net income for the period in which the transaction is settled.



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Revenue, expense and cash-flow items denominated in foreign currencies are translated into the functional currency using the exchange rate in effect on the date of the transaction.

The functional currency of Mindteck Inc. is U.S. dollars. The functional currency of Mindteck Canada Inc. is determined as Canadian dollars (CAD) based on the evaluation of the individual and collective economic factors as discussed in ASC Topic 830-10. The assets and liabilities of Mindteck Canada Inc. are translated into U.S. dollars (\$) exchange rates in effect at the balance sheet date, and revenues and expenses are translated at average rates of exchange in effect during the period. The resulting cumulative translation adjustment is recorded in accumulated other comprehensive income/(loss) in stockholders' equity.

(l) Employee stock options:

Certain employees of the Company have been granted stock options under MIL's Mindteck Employee Stock Option Scheme, 2005, and Employee Stock Option Scheme 2008, which gives such employees the right to purchase equity shares of MIL on exercise.

The Company accounts for its employee stock-based compensation awards measuring and recognizing compensation expense for all stocks-based payments awards based on the grant date fair value of those awards. For awards with graded vesting that are linked to service condition, the Company recognizes compensation expense on a straight-line basis over the requisite service period of the entire award.

(m) Commitments and contingencies

Liabilities for loss contingencies arising from claims, assessments, litigations, fine and penalties and other sources are recorded when it is probable that a liability has been incurred and the amount of the assessment and/or remediation can be reasonably estimated. Legal costs incurred in connection with the same are expensed as incurred.

(n) Leases

(i) Operating leases

Leases where the lessor effectively retains substantially all the risks and benefits of ownership of the leased asset are classified as operating leases. Payments for assets acquired under an operating lease are recognized in the consolidated statement of income over the term of the lease on a straight-line basis.

(o) Cost of revenues and selling, general and administrative expenses

Cost of revenue primarily includes the compensation cost of technical staff, travel costs, sub-contractor costs, data and portal expenses, and other expenses that are related to the generation of revenue.

Selling, general and administrative expenses generally include the compensation cost of sales, management and advisory personnel, travel costs, training cost, advertising, business promotion, rent, repairs, electricity, communication expenses and other general expenses not attributable to cost of revenue.

Advertising costs are expensed as incurred and are included in selling, general and administrative expenses.

(p) Recently issued accounting pronouncements

In May 2014, the FASB issued ASU 2014-09, *Revenue from Contracts with Customers*, which requires a company to recognize revenue when the company transfers control of promised goods and services to the customer. Revenue is recognized in an amount that reflects the consideration a company expects to receive in exchange for those goods or services. A company also is required to disclose sufficient quantitative and qualitative information to enable users of financial statements to understand the nature, amount, timing, and uncertainty of revenue and cash flows arising from contracts with customers. The FASB also has issued several amendments to the standard, which are intended to promote a more



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consistent interpretation and application of the principles outlined in the standard. Companies are permitted to adopt the standard using a retrospective transition method (i.e., restate all prior periods presented) or a cumulative effect method (i.e., recognize the cumulative effect of initially applying the guidance at the date of initial application with no restatement of prior periods). However, both methods allow companies to elect certain practical expedients on transition that will help to simplify how a company restates its contracts. The Company currently anticipates adopting the standard using the cumulative effect method and expects to elect the practical expedient for contract modifications. FASB has deferred the effective date of the application by one year. The new standard is effective for the Company for annual periods in fiscal years beginning after December 15, 2019. All companies are permitted to early adopt the standard beginning January 1, 2017. The Company does not expect the adoption of this amendment to have a material effect on its consolidated financial statements.

In February 2016, the FASB issued ASU 2016-02, *Leases*. The ASU requires lessees to recognize the assets and liabilities on their balance sheet for the rights and obligations created by most leases and continue to recognize expenses on their income statement over the lease term. It will also require disclosures designed to give financial statement users information on the amount, timing, and uncertainty of cash flows arising from leases. The guidance is effective for annual reporting periods beginning after December 15, 2020. Early adoption is permitted for all entities. In July 2018, the FASB issued ASU 2018-11, *Leases (Topic 842) Targeted Improvements*, which allows for the adoption of ASU 2016-02 to be applied at the beginning of the year of adoption, as opposed to at the beginning of the earliest year presented in the financial statements. The Company is currently evaluating the impact of ASU 2016-02 on its consolidated financial statements and disclosures and will adopt the transitional provisions allowed under ASU 2018-11.

In June 2016, FASB issued ASU 2016-13, *Financial Instruments—Credit Losses*. The amendments in this update require a financial asset (or a group of financial assets) measured at amortized cost basis to be presented at the net amount expected to be collected. The allowance for credit losses is a valuation account that is deducted from the amortized cost basis of the financial assets to present the net carrying value at the amount expected to be collected on the financial asset. The income statement reflects the measurement of credit losses for newly recognized financial assets, as well as the expected increases or decreases of expected credit losses that have taken place during the period.

The measurement of expected credit losses is based on relevant information about past events, including historical experience, current conditions, and reasonable and supportable forecasts that affect the collectability of the reported amount. An entity must use judgment in determining the relevant information and estimation methods that are appropriate in its circumstances. The update is effective for fiscal years beginning after December 15, 2020, and for interim periods within fiscal years beginning after December 15, 2021. The Company is currently evaluating the impact of this ASU on its consolidated financial statements and disclosures.

In January 2017, the FASB issued ASU 2017-04, *Intangibles—Goodwill and Other (Topic 350): Simplifying the Test for Goodwill Impairment*. This ASU eliminates the need to calculate the implied fair value of goodwill when an impairment is indicated. The update states that goodwill impairment is measured as the excess of a reporting unit's carrying value over its fair value, not to exceed the carrying amount of goodwill. The update is effective for fiscal years, and interim periods within those fiscal years, beginning after December 15, 2021. Early adoption is permitted for any impairment tests performed after January 1, 2017. Upon adoption, entities will be required to apply the update prospectively. The Company does not expect the adoption of this amendment to have a material effect on its consolidated financial statements.

In December 2019, the FASB issued ASU 2019-12, *Simplifying the Accounting for Income Taxes*. This ASU simplifies various aspects of income tax accounting by removing certain exceptions to the general principle of the guidance and clarifies and amends existing guidance to improve consistency in application. The update is effective for fiscal years, and interim periods within those fiscal years,



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beginning after December 15, 2022. Early adoption is permitted for periods for which financial statements have not yet been made available for issuance. The Company is currently evaluating the impact of this amendment on its consolidated financial statements and disclosures.

3. Accounts receivable:

Accounts receivable consists of:

	As of March 31,	
	2020	2019
Accounts receivable from affiliates (Refer Note 10)	523,037	637,346
Accounts receivable, net of allowances		
Accounts receivable, gross	4,396,353	5,222,072
Less: Allowance for doubtful accounts	(44,728)	(29,301)
Accounts receivable, net of allowances	4,351,625	5,192,771

The Company maintains an allowance for doubtful accounts based on financial condition of the customer and ageing of the accounts receivable. The activity in the allowance for doubtful debts for account receivable is as follows:

	For the year ended March 31,	
	2020	2019
Allowance at the beginning of the year	29,301	29,852
Write-off during the year	(29,301)	-
Provision reversed due to collection	-	(551)
Provision during the year	44,728	-
Allowance at the end of the year	44,728	29,301

4. Other current assets:

Other current assets consist of the following:

	As of March 31,	
	2020	2019
Prepaid expenses	185,865	43,726
Advances to suppliers and others	29,911	33,649
Deposits	78,819	32,712
Other current assets	294,595	110,087



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5. Plant and equipment, net:

Plant and equipment, net consist of the following:

	As of March 31,	
	2020	2019
Computer equipment	174,726	290,028
Furniture and fixtures & office equipment	207,225	220,553
Leasehold improvements	32,596	32,596
Plant and equipment, gross	414,547	543,177
Less: Accumulated depreciation	(404,878)	(525,805)
Plant and equipment, net	9,669	17,372

Depreciation expense on plant and equipment amounted to USD 10,516 and USD 13,759 for the years ended March 31, 2020 and 2019 respectively.

6. Goodwill:

Goodwill of USD 2,219,224 represents the excess of the aggregate purchase price over the fair value of net assets acquired in connection with a business combination that was consummated during the year ended March 31, 2006.

Goodwill is tested for impairment at least annually. Testing the fair value of the Company's reporting unit requires the use of several assumptions like cash flow projections (based on financial budgets approved by the management), revenue/earning multiples. During the year ended March 31, 2020, as a part of impairment evaluation and considering the COVID-19 pandemic, management has reassessed the assumptions in respect of valuation of goodwill. The fair value of the Company's reporting unit was determined on the basis of an independent valuation using the discounted cash flow approach. The goodwill was fully impaired as of March 31, 2020. No impairment was identified as of March 31, 2019.

7. Borrowings from bank:

On August 24, 2017, the Company entered into a revolving line of credit with PNC Bank that permits the Company to draw up to USD 2,000,000 through 2020, bearing interest at LIBOR plus 2% for the year ended March 31, 2020. The Company must also pay an unused fee of 0.10%. At March 31, 2020, the Company had USD 2,000,000 available to be drawn down under this facility. Borrowings are collateralized by a first lien on accounts receivable and a pledge on all business assets of the Company.

The interest and unused fee on the above facilities amounted to USD 2,033 and USD 2,028 for the years ended March 31, 2020 and 2019 respectively have been charged to interest expense.

8. Other current liabilities:

Other current liabilities consist of:

	As of March 31,	
	2020	2019
Salary and wages payable	530,311	488,774
Accrued expenses	832,599	759,323
Statutory liabilities	90,483	119,385
Other current liabilities	1,453,393	1,367,482



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9. Income taxes:

The income tax expense during the years ended March 31, 2020 and 2019 consist of the following:

	For the year ended March 31,	
	2020	2019
Current tax expense/(benefit):		
Federal	(79,208)	(221,662)
State	14,705	156,501
	(64,503)	(65,161)
Deferred tax expense/(benefit):		
Federal	(309,888)	(36,067)
State	(118,995)	7,600
	(428,883)	(28,467)
Income tax expense/(benefit)	(493,386)	(93,628)

For the year ended March 31, 2019, income tax benefit is primarily the result of the decrease in deferred tax liabilities related to Goodwill, the change in reserve of uncertain tax positions per guidelines of ASC740, and changes in valuation allowance. For the year ended March 31, 2020, Income tax expense attributable to income from continuing operations differed from the amounts computed by applying the US federal statutory income tax rate of 21% primarily due to changes in valuation allowance, changes in reserves for uncertain tax positions, and state income taxes.

Deferred income taxes reflect the net effects of temporary differences between the carrying amount of assets and liabilities for financial reporting purposes and the amounts used for income tax purposes. Significant components of net deferred tax assets and liabilities as of March 31, 2020 and 2019 are as follows:

	As of March 31,	
	2020	2019
Deferred tax assets:		
Bad debt reserve	11,866	7,599
Carry forward business losses	1,059,975	731,926
Intangible assets	61,873	44,952
Accrued expenses and liabilities	98,694	109,933
Plant and equipment	5,182	1,430
AMT Credit	-	65,250
Others	618	1,815
Total gross deferred tax asset	1,238,208	962,905
Less: Valuation allowance	(1,238,208)	(897,655)
Total deferred tax assets	-	65,250
Deferred tax liabilities:		
Goodwill	-	(494,133)
Total deferred tax liabilities	-	(494,133)
Net deferred tax liability	-	(428,883)



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	As of March 31,	
	2020	2019
<u>Classified as:</u>		
Deferred tax asset – Current	-	-
Deferred tax asset – Non-current	-	65,250
Deferred tax liability – Non-current	-	494,133

Management establishes a valuation allowance on deferred tax assets when it is more likely than not that the benefit of such deferred tax assets will not be realized. The ultimate realization of deferred tax assets is dependent upon management's assessment of the Company's ability to generate taxable income during the periods in which the temporary differences become deductible. Based on the historical level of taxable income and considering the uncertain economic environment and the COVID-19 pandemic, projections of future taxable income over the periods in which the deferred tax assets are deductible, management believes that it is more likely than not the Company will not realize the benefits of these deductible differences net of the existing valuation allowances at March 31, 2020. Management's assessment in the near term is subject to change if estimates of future taxable income are reduced. As of March 31, 2020, the Mindteck Canada does not have any undistributed earnings.

The Company has recorded a valuation allowance of USD 1,238,208 and USD 897,655 as of March 31, 2020 and March 31, 2019 respectively representing an increase in valuation allowance of USD 328,687 on deferred tax assets including deferred tax assets in relation to the net operating loss carry forward. Management based on its future business projections believes that it is more likely than not that the Company will not be able to utilize the deferred tax asset.

As of March 31, 2020, the Company has federal net operating loss carry forwards of USD 4,349,622 and state net operating loss carry forwards of USD 2,650,847 available to offset future taxable income, which expire in various years beginning in 2032.

The Company had net operating loss carryforwards which were subject to limitation under section 382 of US Tax Code. As of March 31, 2020 and 2019, the Company had federal cash tax exposure of USD Nil and USD 39,066 respectively, for uncertain tax positions if the net operating loss utilization be challenged due to limitation under section 382. As of March 31, 2020, reserve for unrecognized tax benefits was USD Nil due to the expiration of statute of limitations.

The Company files federal and various state tax returns. As a result of the net operating losses in prior years, the federal statute of limitations will remain open for a period following any utilization of the net operating loss carry forwards, and as such, these periods remain subject to examination for tax years after 2017. With few exceptions, the state filings are no longer subject to examination by the tax authorities for tax years before 2016. The Company is currently not under examination by the Internal Revenue Service or any other taxing authority.



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10. Related party transactions

The Company has also entered into the following significant transactions with related parties:

	For the year ended March 31,	
	2020	2019
Income from IT-enabled services:		
a) Mindteck (India) Limited – holding company	112,194	83,163
	For the year ended March 31,	
	2020	2019
Reimbursement of expenses to:		
a) Mindteck (India) Limited – holding company	157,946	319,323
b) Mindteck UK Limited - fellow subsidiary	30,160	1,249
c) Mindteck Singapore Pte Ltd– fellow subsidiary	12	631
d) Mindteck Germany GmbH– fellow subsidiary	-	19,125
e) Mindteck Malaysia – fellow subsidiary	-	426
f) Mindteck Middle East Limited SPC - fellow subsidiary	74,524	426
Subcontracting costs:		
a) Mindteck (India) Limited – holding company	5,377,473	5,430,467
b) Mindteck Singapore Pte Ltd– fellow subsidiary	72,730	63,983
Reimbursement of expenses from:		
a) Mindteck (India) Limited – holding company	288,907	281,557
b) Mindteck Singapore Pte Ltd– fellow subsidiary	23,217	-

The balances receivable from and payable to related parties as at March 31, 2020 and 2019 are as follows:

	As of March 31,	
	2020	2019
Accounts receivable:		
Mindteck (India) Limited - holding company	411,952	524,993
Mindteck Germany GmbH - fellow subsidiary	111,065	111,065
Mindteck Malaysia – fellow subsidiary	-	-
Mindteck Middle East Limited SPC - fellow subsidiary	-	1,204
Mindteck Singapore Pte Ltd - fellow subsidiary	-	-
Mindteck UK Limited - fellow subsidiary	20	84
Total	523,037	637,346

	As of March 31,	
	2020	2019
Accounts payables:		
Mindteck (India) Limited – holding company	625,129	633,503
Mindteck Singapore Pte Ltd– fellow subsidiary	95,947	63,983
Total	721,076	697,486



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	As of March 31,	
	2020	2019
Loans to affiliates:		
Mindteck Germany GmbH – fellow subsidiary	100,000	100,000
Mindteck Middle East Limited SPC – fellow subsidiary	185,960	185,960
Total	285,960	285,960

Loan to Mindteck Middle East Limited SPC is interest-free and repayable on demand. Loan to Mindteck Germany GmbH carries interest of 3.5% with an option to pay anytime on or before 19 September 2019. Effective June 13, 2019, the loan along with interest to Mindteck Germany was waived until June 15, 2020. The interest income relating to the loan to Mindteck Germany GmbH as at March 31, 2020 and March 31, 2019 amounts to USD Nil and USD 3,500 respectively.

11. Stock option plan

Mindteck Employees Stock Option Scheme 2005

Mindteck (India) Limited introduced the “Mindteck Employees Stock Option Scheme 2005” (“the Option Scheme 2005”) for the benefit of the employees, as approved by the Board of Directors of MIL in its meeting held on July 4, 2005 and the shareholders meeting held on July 29, 2005. The Option Scheme 2005 provides for the creation and issue of 500,000 options that would eventually convert into equity shares of INR 10 each (approximately USD 0.14 each) in the hands of the employees. The options are to be granted to the eligible employees at the discretion of and at the exercise price determined by the Nomination & Remuneration Committee of the Board of Directors of MIL. The options vest annually in a graded manner over a three-year period and are exercisable during a maximum period of five years from the date of vesting.

Mindteck (India) Limited has granted Nil options and Nil options during the year ended March 31, 2020 and 2019, respectively.

Stock option activity under the Option Scheme 2005 is as follows:

Particulars	Shares arising out of options		Weighted average exercise price (\$)	
	2020	2019	2020	2019
Outstanding at the beginning of the year	14,100	30,300	0.43	0.53
Granted during the year	-	-	-	-
Forfeited and lapsed during the year	(2,300)	(16,200)	0.27	0.54
Exercised during the year	-	-	-	-
Outstanding at the end of the year	11,800	14,100	0.45	0.43
Exercisable at the end of the year	11,800	14,100	0.45	0.43

Mindteck Employees Stock Option Scheme 2008

Mindteck (India) Limited introduced the ‘Mindteck Employees Stock Option Scheme 2008’ (‘the Option Scheme 2008’) for the benefit of the employees, as approved by the Board of Directors of MIL in its meeting held on May 27, 2008 and the shareholders meeting held on July 30, 2008. The Option Scheme 2008 provides for the creation and issue of 1,200,000 options that would eventually convert into equity shares of INR 10 each (approximately USD 0.14 each) in the hands of the employees. The options are to be granted to the eligible employees at the discretion of and at the exercise price determined by the Nomination & Remuneration Committee of the Board of Directors. The options will vest after the expiry



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of a period of twelve months from the date on which the options are granted. The vesting term and the period over which the options are exercisable is to be decided by the Nomination & Remuneration Committee of the Board of Directors.

The Company has granted Nil and Nil options during the year ended March 31, 2020 and 2019, respectively.

Stock option activity under the Option Scheme 2008 is as follows:

Particulars	Shares arising out of options		Weighted average exercise price (\$)	
	2020	2019	2020	2019
Outstanding at the beginning of the year	120,000	142,200	1.19	1.29
Granted during the year	-	-	-	-
Forfeited and lapsed during the year	-	(22,200)	-	1.22
Exercised during the year	-	-	-	-
Outstanding at the end of the year	120,000	120,000	1.17	1.19
Exercisable at the end of the year	120,000	86,667	1.17	1.14

The following table summarizes key information relating to the Option Scheme 2005 & Option Scheme 2008:

Particulars	Weighted average remaining contractual life		Range of exercise price	
	2020	2019	2020	2019
Option Scheme 2005	0.28	0.50	\$0.27-\$0.52	\$0.27-\$0.53
Option Scheme 2008	2.36	3.36	\$0.61-\$1.28	\$0.62-\$1.30

During the year ended March 31, 2020 and 2019, the Company recognized approximately USD 6,991 and USD 11,775 as stock-based compensation expense respectively. For awards with graded vesting that are linked to service condition, the Company recognizes compensation expense on a straight-line basis over the requisite service period of the entire award.

The per share weighted average fair value of stock options granted during the year ended March 31, 2020 and 2019 were Nil and USD Nil, respectively. The fair value of each stock option grant is estimated on the date of grant using the Black-Scholes option pricing model with the following assumptions:

Particulars	2020		2019	
	ESOP 2005	ESOP 2008	ESOP 2005	ESOP 2008
Dividend Yield	-	-	1.28%	2.84%
Expected term	-	-	5.00	4.50
Risk free interest rate	-	-	8.46%	7.84%
Volatility	-	-	62.15%	63.71%

The unamortized stock compensation cost relating to unvested options as at March 31, 2020 and March 31, 2019 amounts to Nil and USD 21,798, respectively. The total fair value of shares vested was USD 21,442 and USD 21,798 during the years ended March 31, 2020 and 2019.



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12. Leases

Operating Leases

The Company is obligated under non-cancelable operating lease for office and residential space and equipments that are renewable on a periodic basis at the option of both the lessor and the lessee.

As at March 31, 2020, future minimum lease payments under non-cancelable leases are:

Year ending March 31, 2021	98,532
Total	98,532

Total rental expenditure under the operating lease, cancelable and non-cancelable was USD 172,646 and USD 218,491 for the years ended March 31, 2020 and 2019 respectively.

On October 07, 2019, the Company became a sublandlord with respect to one office lease. Under this sublease agreement, USD 21,443 was recorded as rental income.

13. Commitments and Contingencies

Capital Commitments

There were no capital commitments as of March 31, 2020 and 2019.

Contingencies and lawsuits

The Company is involved in lawsuits, claims, investigations and proceedings, including patent and commercial matters, which arise in the ordinary course of business. The Company believes that there are no such pending matters that are expected to have any material adverse effect on its financial statements.

14. Stockholders' equity and dividend:

The Company presently has one class of stock – common stock. For all matters submitted to vote in the stockholders' meeting, every holder of common stock as reflected in the records of the Company on the date of the stockholders' meeting shall have one vote in respect of each share held. In the event dividend is declared, it is recognized upon approval by the Board of Directors.

15. Impact due to COVID-19 pandemic:

The Company has considered internal and certain external sources of information including economic forecasts, budgets required to meet performance obligations and likely delays on contractual commitments, upto the date of approval of these consolidated financial statements, in determining the possible impact from the COVID-19 pandemic. The Company has used the principles of prudence in applying judgements, estimates and assumptions and based on the current estimates, the Company expects to fully recover the carrying amount of its assets. The impact of the global health pandemic may be different from that estimated as at the date of approval of these consolidated financial statements and the Company will continue to closely monitor any material changes to its assessment of economic impact of COVID-19 pandemic.

16. Subsequent events

The Company performs an evaluation of events that occur after the balance sheet date but before the financial statements are issued or available to be issued, for potential recognition or disclosure of such events in its financial statements. The Company evaluated all events or transactions that occurred between March 31, 2020 and August 13, 2020 the date the Company issued their financial statements and determined that no events or transactions which would require adjustments or disclosure in the Company's financial statements except as disclosed below.



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In April 2020, the Company received USD 2,469,200 under the Coronavirus Aid, Relief and Economic Security Act's Paycheck Protection Program. A note was signed with PNC Bank which is guaranteed by the US Small Business Administration. These funds are to be used to pay payroll costs, rents and utilities. Once the covered period (eight or twenty-four weeks) ends, the Company will apply for forgiveness in accordance with the requirements of the Program. If the funds are used accordingly and the Company meets the calculated requirements, the amount used to pay such costs may be forgiven.



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